BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

March 3, 2026

- **Positive Sentiment Supports Rates Despite Dark Macro Clouds –** The dry bulk chartering market has finally reached a phase of **institutional maturity** where freight derivatives increasingly dictate spot market trajectory, mirroring the evolution of other global commodity markets. With daily Forward Freight Agreement (FFA) volumes now **exceeding physical transactions by several orders of magnitude**, a predominantly bullish futures curve continues to anchor physical spot rates. This is a structural shift that has especially transformed Capesize chartering over the past decade. While the broader shipping industry is experiencing **historic strength across multiple segments** (especially tankers), this positive spillover has **suppressed dry bulk spot rate volatility** and allowed sentiment-driven futures to **decouple from immediate physical realities** that seem at best lukewarm to us. Such a development should be **welcomed** by the industry since it shows the transition of the sector to a mainstream commodity. However, such maturation also **introduces the risk** of a severe correction under particular circumstances; unlike past instances when dry bulk was isolated from broader economic headlines, should a macroeconomic shock occur, **dry bulk's correlation with broader commodities will likely intensify**, thus exposing the vulnerability of the underlying frail supply/demand balance. Despite weakening fundamentals, characterized by declining Chinese steel production, record-high iron ore inventories, and sluggish coal imports, the prevailing freight rate trend remains dominant. Consequently**, the current divergence between bullish sentiment and lackluster physical demand will likely persist** or maybe even intensify further until an external shock forces a market recalibration.

- **Ample Iron Ore in China Amid Weakening Steel Sector Demand –** Iron ore stockpiles in China have now reached a record 162 million tonnes, eclipsing the previous peak established in 2018. Despite this surplus and generally sluggish steel demand, **prices remain resilient**, hovering just below the $100/mt mark, stabilized by the centralized procurement strategies of the China Mineral Resources Group (CMRG). Much like its strategic management and increase of crude oil reserves, China's continued **aggressive acquisition of iron ore** despite high inventories remains an enigma; however, this activity has so far provided a significant tailwind for the dry bulk shipping sector. While current iron ore prices may seem excessive relative to the cooling domestic steel market, CMRG's oversight provides a stabilizing mechanism capable of maintaining price equilibrium for both domestic mills and global mining operators.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and rather steady fleet growth.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Neutral
Fundamentals:	Negative
Breakwave Dry Futures Index:	**2493**
30D: 15.6%	↑
YTD: 62.3%	↑
YOY: 66.4%	↑
Baltic Dry Index (spot):	**2117**
30D: 5.9%	↑
YTD: 12.8%	↑
YOY: 82.7%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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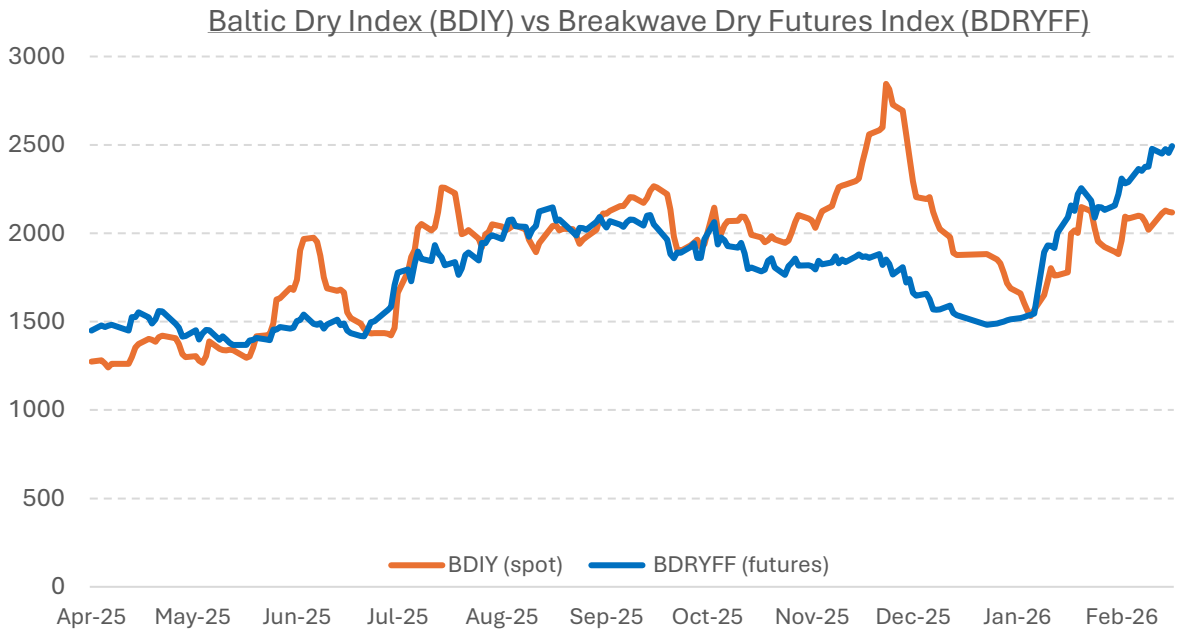

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	**YTD**	**YOY**
China Steel Production	961mt	-4.4%
China Steel Inventories	5.0mt	-19.3%
China Iron Ore Inventories	162mt	11.9%
China Iron Ore Imports	1260mt	1.8%
China Coal Imports	491mt	-9.6%
China Soybean Imports	112mt	6.5%
Brazil Iron Ore Exports	445mt	6.0%
Australia Iron Ore Exports	930mt	2.0%

Supply		
Dry Bulk Fleet	1067 mdwt	3.1%

Freight Rates		
Baltic Dry Index, Average	1,900	110.2%
Capesize Spot Rates, Average	22,866	155.5%
Panamax Spot rates, Average	14,549	68.0%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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